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Case Number: 25NNCV08943 Hearing Date: July 31, 2026 Dept: A

TENTATIVE RULING

JULY 31, 2026

DEMURRER WITH MOTION TO
CONTINUE TRIAL

Los

Angeles Superior Court Case # 25NNCV08943

MP: Defendant

George C. Shen

RP: Plaintiffs

Yi-Xuan Shih and Chin Pang Lim

NOTICE:

The Court is not requesting oral argument on this matter. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is required and any party seeking argument should notify all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to appear and argue. The tentative ruling will become the ruling of the court if no argument is received.

Notice may be given

either by email at or by telephone at (818) 260-8412.

ALLEGATIONS:

Yi-Xuan Shih aka

Stacy Shih ("Shih") and Chin Pang Lim ("Lim"

(together, "Plaintiffs") allege that Ying Chui Chen aka Jessica Chen ("Chen"), Chih

Wei Li aka Raymond Li ("Li"), Henry Yee Szu ("Szu"), and George C Shen ("Shen")

(together, "Defendants") engaged in a fraudulent scheme to extract money from

Plaintiffs, who were vulnerable immigrants seeking lawful U.S. status. Plaintiffs allege Defendants represented

themselves as immigration professionals capable of obtaining EB-5 visas, work

permits, and DACA approvals through connections with USCIS and the U.S.

Military. As a result of fabricated

documents and misrepresentations, Plaintiffs contend they were induced to pay

Defendants \$43,000, which has not been returned.

The First

Amended Complaint ("FAC"), filed March 23, 2026, alleges: (1) Fraud

(Intentional Misrepresentation); (2) Fraud (Concealment); (3) Breach of

Contract; (4) Unjust Enrichment; (5) Conversion; (6) Civil Conspiracy; (7)

Violation of Immigration Consultants Act (Bus. & Prof. Code, § 22440 et

seq.); and (8) Violation of Unfair Competition Law (Bus. & Prof. Code,

§ 17200 et seq.).

MOTION ON CALENDAR:

On April 22, 2026, Shen

filed a "Demurrer of Defendant George C. Shen, to the First Amended Complaint

of Plaintiffs Yi-Xuan Shih, aka Stacy Shih, and Chin Pang Lim; and a Motion to

Continue Trial Date" [although no trial date has been set]. On April 30, 2026, Shih and Lim filed

oppositions to the demurrer and the motion to continue. On May 19, 2026, Shen filed a reply.

Shen, Shih, and Lim

are self-represented litigants.

LEGAL STANDARD:

The grounds for a

demurrer must appear on the face of the pleading or from judicially noticeable

matters. (C.C.P. § 430.30(a); Blank v. Kirwan (1985) 39 Cal. 3d 311,

318.) A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) The only issue involved in a demurrer hearing is whether the complaint states a cause of action. (Id.)

A demurrer

assumes the truth of all factual, material allegations properly pled in the challenged pleading. (Blank, supra, 39 Cal. 3d at p. 318.) No matter how unlikely or improbable, the plaintiff's allegations must be accepted as true for the purpose of ruling on the demurrer. (Del E. Webb Corp. v. Structural Materials Co. (1981) 123 Cal. App. 3d 593, 604.) But this does not include contentions; deductions; conclusions of fact or law alleged in the complaint; facts impossible in law; or allegations contrary to facts of which a court may take judicial notice. (Blank, supra, 39 Cal. 3d at 318.)

Pursuant to

C.C.P. §§ 430.10(e) and (f), the party against whom a complaint has been filed may demur to the pleading on the grounds that the pleading does not state facts sufficient to constitute a cause of action, or that the pleading is uncertain, ambiguous and/or unintelligible. It is an abuse of discretion to sustain a demurrer without leave to amend if there is a reasonable probability that the defect can be cured by amendment. (Schifando v. City of Los Angeles (2003) 31 Cal. 4th 1074, 1082.)

MEET AND
CONFER:

C.C.P. §§ 430.41(a) and 435.5(a) require that the moving party meet and confer with the party who filed the pleading that is subject to the demurrer and/or motion to strike.

Shen did not accompany the demurrer with a meet and confer declaration. Shih and Lim provide their joint declaration in opposition, stating that Shen did not meet and confer prior to filing the demurrer. (Shih and Lim Decl., ¶¶2-3.)

The Court has reviewed the email exchanges. On April 10, 2026, Shen sent an email

requesting that the parties meet and confer via telephone. (Shih and Lim Decl., Ex. A.) Plaintiffs declined a telephonic meet and

confer arguing that the demurrer to the original complaint was moot in light of the FAC and that Shen's email did not state the specific causes of action or basis for a demurrer to the FAC. (Id., Ex. B.) Shen responded that he was attempting to meet and confer regarding the FAC and his proposed demurrer to the FAC. (Id., Ex. C.) On April 17, 2026, Shen again emailed asking to meet and confer regarding the First to Eighth causes of action and requesting convenient times to conduct the meet and confer. (Id., Ex. D.) On April 20, 2026, Plaintiffs declined his request to meet and confer in person and informed Shen that they retained litigation counsel to handle the meet and confer process via video conference after he fulfilled his statutory obligations under C.C.P. § 430.41 to "identify with legal support the basis of the deficiencies." (Id. at Ex. E.) Shen requested Plaintiffs' counsel's information to conduct meet and confer efforts. (Id., Exs. F-H.) On April 22, 2026, Plaintiffs again requested the legal support for Shen's position and stated that after he sends this information, they will coordinate a time to schedule a video conference with their attorney.

Shen made multiple attempts to meet and confer with Plaintiffs but was denied attempts to meet and confer telephonically and in person. C.C.P. § 430.41(a) allows the demurring party (Shen) to meet and confer in person, by telephone, or by video conference and, as a part of the meet and confer process, he must identify all of the specific causes of action that he believes are subject to demurrer and identify with legal support the basis for the deficiencies. There is no procedural hurdle in the statute requiring Shen to first provide the legal basis for his position before a meet and confer via video conference can be scheduled. Rather, this section contemplates that the legal basis may be provided as the meet and confer conference is underway.

Here, full meet and confer efforts were not achieved.

However, this does not appear to be Shen's fault as Plaintiffs declined Shen's requests to meet and confer and ignored Shen's requests to disclose Plaintiffs' counsel's information. (The Court notes that no substitution of attorney forms have been filed.) Although Shen did not file a declaration, the

email exchange provided in Plaintiffs' opposition shows that Shen attempted to meet and confer but such efforts were declined by Plaintiffs. (See C.C.P. § 430.41(a)(3)(B) ["The demurring party shall file and serve with the demurrer a declaration stating either of the following: ... (B) That the party who filed the pleading subject to demurrer failed to respond to the meet and confer request of the demurring party or otherwise failed to meet and confer in good faith."].) As such, the Court will consider the merits of the demurrer.

DEMURRER ANALYSIS:

Shen demurs to each cause of action alleged in the FAC on the grounds that they fail to state sufficient facts and are uncertain.

A.

First

Cause of Action for Fraud (Intentional Misrepresentation) – Overruled

The elements for fraud are: (1) a representation, usually of fact, which is false; (2) knowledge of its falsity; (3) intent to defraud; (4) justifiable reliance upon the misrepresentation; and (5) damage resulting from that justifiable reliance. (*Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 72-73.) This cause of action is a tort of deceit and the facts constituting each element must be alleged with particularity; the claim cannot be saved by referring to the policy favoring liberal construction of pleadings. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216.) Since the claim must be pleaded with particularity, the cause of action based on misrepresentations must allege facts showing how, when, where, to whom, and by what means the misrepresentations were tendered. (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.)

In the First Cause of

Action, Plaintiffs allege that Defendants made numerous false representations of material facts to Plaintiffs that: (a) they were qualified and licensed to provide immigration services; (b) they had special influence and connections within USCIS; (c) Plaintiffs' funds would be used for a legitimate EB-5 investment; (d) they had filed immigration applications on Plaintiffs' behalf; and (e) Plaintiffs' money could not be refunded because it had already been spent on legal and filing fees. (FAC,

¶35.) Plaintiffs allege that Chen and Li

made various representations (*id.*, ¶36(a)-(f), (h)-(i)) and that Shen

represented through a falsified USPS mail receipt on July 17, 2024 that he had mailed an immigration application not USCIS (id., ¶36(g)). Plaintiffs allege Defendants knew their representations were false because of Shen's February 14, 2024 email circulating fabricated agreement templates, Defendants never intended to provide legitimate services, Szu's admission the interviews were staged, and the fabricated USPS mail receipt. (Id.,

¶37.) They claim the misrepresentations

were made with the intent to induce Plaintiffs to pay money to Defendants, including the false representation about the DACA approval which induced Plaintiffs to make an additional \$3,000 payment and prevent Plaintiffs from demanding a refund. (Id.,

¶38.) They assert that they justifiably

relied on Defendants' misrepresentations because they appeared to be experts, fabricated credentials, had official-looking written agreements, met at a law office, staged government interviews, and falsified official documents. (Id., ¶39.) As a result, Plaintiffs were damaged in the amount of \$43,000. (Id., ¶40.)

In the FAC's "Facts

Specific to Each Defendant" section, Plaintiffs allege Shen was the self-styled "chief" of the operation and engaged in the following fraudulent acts: (1) on February 14, 2024, he sent an email to Li and Szu containing fraudulent investment agreements templates, which proves a premeditated conspiracy; (2) on April 24, 2024, Shen participated in a fabricated interview of Plaintiffs' minor son when he met the son and Szu in the USCIS parking lot, took copies of passports, and left without conducting any legitimate proceeding to create the false appearance that the official process was underway; (3) on June 20, 2024, Shen was present the meeting when Li distributed fraudulent, unfiled immigration forms and he evasively claimed he did not know when Plaintiffs would receive their work permits; (4) on July 17, 2024, Shen provided Lim with a falsified USPS certified mail receipt regarding the USCIS application; and (5) on January 5, 2025, Shen sent an email to Plaintiff stating he needed to "withdraw" the DACA application but no application had been filed. (FAC, ¶32.)

Shen demurs to the First

Cause of Action, arguing that the allegations refer to "Defendants" generally or refer to Chen and Li's actions, but fail to allege specific facts against Shen.

While the FAC refers to

"Defendants" generally in some instances, the FAC, read as a whole, provides

specific facts against Shen regarding what alleged misrepresentations he made and how he and Defendants engaged in acts amounting to fraud. As alleged, the Court finds that Plaintiffs have alleged sufficient facts to support each element of Fraud against Shen. As such, the demurrer to the First Cause of Action is overruled.

B.

Second

Cause of Action for Fraud (Concealment) – Overruled

The elements for fraudulent

concealment are: (1) the defendant must have concealed or suppressed a material fact; (2) the defendant must have been under a duty to disclose the fact to the plaintiff; (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff; (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact; and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. (Lovejoy v. AT&T Corp. (2004) 119 Cal. App. 4th 151, 157-158.)

The duty to disclose arises where there is some relationship between the parties that give rise to a duty to disclose, such as a fiduciary, confidential, or a transactional relationship (seller/buyer, employer/prospective employee, doctor/patient, parties entering into a contractual agreement). (Nissan Motor Acceptance Cases (2021) 63 Cal.App.5th 793, 826 [citations omitted].) For transactions without fiduciary or confidential relationships, “a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff.” (Id.)

In the

Second Cause of Action, Plaintiffs allege that Defendants concealed/suppressed material facts, including that: (a) Defendants were not licensed attorneys, authorized immigration consultants, or registered immigration bond holders; (b) Defendants had no special influence with USCIS or any other government agency; (c) Defendants never intended to file any immigration applications on

Plaintiffs' behalf; (d) the "Brunswick Veterans Housing Services" entity named in the fraudulent agreement were fictitious or illegitimate; and (e) the USCIS "interviews" were staged. (FAC, ¶44.) Plaintiffs allege Defendants had a duty to disclose the material facts because they undertook to act as Plaintiffs' immigration representatives, had exclusive knowledge of their lack of credentials and intent not to perform, and conducted staged interviews and falsified documents. (Id., ¶45.) Plaintiffs claim Defendants intentionally concealed the facts to defraud Plaintiffs and prevent them from demanding a refund, such that Plaintiffs were unaware of the concealed facts and would not have paid \$43000 had they known the truth. (Id., ¶46.) Plaintiffs allege that Shen held himself out as a high-ranking U.S. military officer and the "chief" of the operation, when he was not a licensed attorney, authorized immigration consultant, or a registered immigration bond holder. (Id., ¶¶9, 45.)

Shen demurs to the Second Cause of Action, arguing that Plaintiffs did not identify what superior knowledge he had. He also argues that Plaintiffs refer to "Defendants" generally and fails to plead Fraud as to each defendant specifically.

The elements of fraudulent concealment do not necessarily require "superior knowledge" but rather that Defendants made representations but failed to disclose material facts that would render the facts misleading. As framed by Plaintiffs, Defendants, including Shen, held themselves out to have credentials to perform immigration services on Plaintiffs' behalf and while Defendants drafted documents, conducted interviews, and mailed documents, Plaintiffs alleged facts that these forms, interviews, and mailing were fabricated and that the immigration process was not progressing as represented. Based on the transactional relationship the parties had (wherein Plaintiffs paid \$43,000 in fees for services), the FAC sufficiently alleges Shen owed Plaintiffs a duty to disclose facts.

The demurrer to the Second Cause of Action is overruled.

C.
Third

Cause of Action for Breach of Contract – Sustained with Leave to Amend

The elements for breach of contract are:

“(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

In the Third Cause of

Action, Plaintiffs allege that the parties entered into a partially oral and written contract based on oral representations made on February 11 and 15 that was memorialized in the Agreement for Investment and Immigration and Private Contract for Investment and Immigration on February 15 and 16, 2024. (FAC, ¶50, Exs. 13-14.) Plaintiffs allege they performed under the agreements by paying \$40,000 on February 16, 2024 and an additional \$3,000 on April 2, 2024, as well as providing personal identifying information and their son attending the “interview.” (Id., ¶51.) Plaintiffs claim Defendants breached the agreement by failing to prepare and file any immigration applications, obtain immigration benefits, and provide legitimate immigration services. (Id., ¶52.)

According to the

Immigration Investment Agreement, Shih was required to pay an initial \$400,000 deposit to secure a position in the queue to start the USCIS application process, and the full amount of the investment was to be \$800,000 with the remainder to be paid upon receiving the I-526 (temporary status) or within three months of initiating the visa application. (FAC, Ex. 13 [Immigration Investment Agreement, ¶¶1.1, 1.5, 1.6].) According to the Investment Agreement, Shih was required to invest \$800,000 in full and pay an additional \$120,000 as a management fee (for attorney's fees, regulatory application fee, and other service charges.) (FAC, Ex. 14 [Investment Agreement at ¶1].)

Shen argues that

Plaintiffs acknowledged Shih texted Chen on February 21, 2024 stating she was unable to borrow additional funds, wished to stop the investment, and unsuccessfully requested a refund. (FAC, ¶19.) Thus, Shen argues that Plaintiffs engaged in an anticipatory breach of the contract. (See Central Valley General Hospital v.

Smith (2008) 162 Cal.App.4th 501, 514 [“[A]n anticipatory breach of contract occurs when the contract is repudiated by the promisor before the promisor’s performance under the contract is due.”].)

Based on the allegations,

Plaintiffs have not alleged sufficient facts regarding the second element of performance or excuse for nonperformance.

Plaintiffs do not allege they performed their obligations in compliance with the agreements. If relying on the terms of the attached agreements, then Shih was required to make a \$400,000 initial deposit, pay the remaining \$400,000 after receiving temporary status, and also pay \$120,000 in management fees.

Plaintiffs allege that they paid \$43,000 but not the \$400,000 amount.

In opposition, Plaintiffs

argue that the contract was fraudulently induced in the first place such that Defendants cannot use Plaintiffs’ inability to perform a fraudulent agreement as a shield against liability. However, by bringing this Breach of Contract Cause of Action, Plaintiffs are conceding, for the purposes of this alternate theory from the Fraud Cause of Action, that the parties entered into valid contracts.

To the extent Plaintiffs

contend they were excused from nonperformance due to Defendants’ alleged fraudulent conduct, this should be further explained. As currently alleged, the parties entered the agreements on February 15 and 16, 2024 and, less than a week later on February 21, 2024, Plaintiffs represented that they wished to stop the investment due to lack of funds—not on the basis of fraudulent conduct. Plaintiffs have not alleged facts that they were excused from nonperformance because they suspected fraudulent conduct; rather, their suspicions only arose months later when the immigration process was purportedly underway.

Plaintiffs should clarify

this cause of action upon amendment and allege facts, if possible supporting the second element. The demurrer to the Third Cause of Action is sustained with leave to amend.

D.

Fourth

Cause of Action for Unjust Enrichment – Sustained Without Leave to Amend

Under California law, unjust enrichment is not a cause of action. (Melchior v. New Line Productions, Inc. (2003) 106 Cal. App. 4th 779, 794.) Instead, it is the failure to make restitution under circumstances where it is equitable to do so. (Id.) Unjust enrichment is a general principle, underlying various legal doctrines and remedies, rather than a remedy itself. (Id.) It is synonymous with restitution. (Id.) This is the basis for the general rule in California, which finds that unjust enrichment is not a cause of action, but a claim for restitution. (Hill v. Roll Int'l Corp. (2011) 195 Cal. App. 4th 1295, 1307.)

Shen demurs to the Fourth Cause of Action, arguing that this is not a recognized cause of action and, because a contract exists, Plaintiffs' claim for unjust enrichment fails.

The demurrer to the Fourth Cause of Action is sustained without leave to amend because there is no cause of action for unjust enrichment.

E.

Fifth

Cause of Action for Conversion – Overruled

The elements for conversion are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights, interfering with plaintiff's possession; and (3) damages. (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240; PCO, Inc.

v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal.App.4th 384, 395.)

"Money cannot be the subject of a cause of action for conversion unless there is a specific, identifiable sum involved, such as where an agent accepts a sum of money to be paid to another and fails to make the payment." (PCO, Inc.

v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal.App.4th

384, 395.) "A party need only allege it is entitled

to immediate possession at the time of conversion. [Citations.] However, a mere contractual right of payment, without more, will not suffice."

(Farmers Ins. Exchange v. Zerin (1997) 53 Cal.App.4th 445, 452

[internal quotation marks and citations omitted].)

Plaintiffs allege that they were the owners and rightful possessors of specific identifiable sums they paid to Defendants: (a) \$40,000 paid via the cashier's check on February 16, 2024; and (b) the \$3,000 Zelle transfer made on April 2, 2024. (FAC, ¶61.) Plaintiffs claim that Defendants wrongfully took possession of the funds by means of fraudulent misrepresentations without any intention to provide immigration services. (Id., ¶62.)

Shen demurs to this cause of action, arguing that Plaintiffs only alleged that a check was voluntarily issued in connection with the alleged agreement, which establishes that this is a contract dispute and not a conversion issue.

At the pleading stage, the Court will allow this cause of action to remain as an alternative cause of action to the Breach of Contract Cause of Action. In the event no valid contracts existed between the parties, Plaintiffs may have a claim for conversion. The demurrer to the Fifth Cause of Action is overruled.

F.

Sixth

Cause of Action for Civil Conspiracy – Sustained with Leave to Amend

Under California law, conspiracy is not a cause of action, but a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration. (Wyatt v. Union Mortgage Co. (1979) 24 Cal.3d 773, 784.) A claim for conspiracy must be based on a wrongful act and the claim must allege: (1) the formation and operation of the conspiracy; (2) the wrongful act or acts done pursuant thereto; and (3) the damage resulting. (Unruh v. Truck Insurance Exchange (1972) 7 Cal. 3d 616, 631.)

In making allegations of conspiracy, bare legal conclusions, inferences, generalities, presumptions, and conclusions are insufficient. (State of California ex rel. Metz v. CCC Information Services, Inc. (2007) 149 Cal. App. 4th 402, 419 [finding that allegations that defendants

conspired to conceal improper loss valuations was insufficient].) There must be allegations that the purported conspirators had actual knowledge of the planned tort and had the intent to aid in the commission of the tort. (Kidron v. Movie Acquisition Corp. (1995) 40 Cal.App.4th 1571, 1580.)

In the Sixth Cause of

Action, Plaintiffs allege that Defendants formed a conspiracy to defraud Plaintiffs on February 14, 2025, when Shen emailed Li and Szu with fraudulent agreement templates to be used to defraud Plaintiffs. (FAC, ¶67.)

Plaintiffs allege that Chen, Shen, Li, and Szu engaged in specific actions in furtherance of the conspiracy.

(Id., ¶68(a)-(d).)

Specifically, with respect to Shen, Plaintiffs allege Shen circulated fraudulent agreement templates, staged fake USCIS interviews, provided a falsified USPS mail receipt, falsely claimed to withdraw a non-existent DACA application. (Id., ¶68(b).)

While the allegations

appear to be tied to the Fraud causes of action, Plaintiffs have not alleged facts supporting the formation of a conspiracy between Defendants or that the purported co-conspirator Defendants acted with actual knowledge and intended to aid in the commission of the Fraud together.

Though certain inferences can be made from the allegations that Defendants may have engaged in a civil conspiracy to defraud Plaintiffs, as stated above, inferences and presumptions are insufficient to allege conspiracy.

The demurrer to the

Sixth Cause of Action is sustained with leave to amend.

G.

Seventh

Cause of Action for Violation of Immigration Consultants Act (Bus. & Prof. Code, § 22440 et seq.) – Overruled.

“It is unlawful

for any person, for compensation, other than persons authorized to practice law or authorized by federal law to represent persons before the Board of Immigration Appeals or the United States Citizenship and Immigration Services, to engage in the business or act in the capacity of an immigration consultant

within this state except as provided by this chapter.” (Bus. & Prof. Code, § 22440.)

A person engages

in the business or acts in the capacity of an immigration consultant when that person gives nonlegal assistance or advice on an immigration matter, such as by:

(1) completing a form provided by a federal or state agency but not advising a person as to their answers on those forms; (2) translating a person's answers to questions posed in those forms; (3) securing for a person supporting documents, such as birth certificates, which may be necessary to complete those forms; (4) submitting completed forms on a person's behalf and at their request to the USCIS; and/or (5) making referrals to persons who could undertake legal representation activities for a person in an immigration matter. (Bus. & Prof. Code, § 22441(a.)

“Every person

engaged in the business, or acting in the capacity of, an immigration consultant who enters into a contract or agreement with a client to provide services shall, prior to providing any services, provide the client with a written contract, the contents of which shall be prescribed by the Department of Consumer Affairs in regulations.” (Bus.

& Prof. Code, § 22442(a).)

It is unlawful

for any person engaged in the business or acting in the capacity of an immigration consultant to make false or misleading statements to a client while providing services to that client or make any guarantee or promise to a client, unless the guarantee or promise is in writing and the immigration consultant has some basis in fact for making the guarantee or promise. (Bus. & Prof. Code, § 22444(a), (b).)

“A person

claiming to be aggrieved by a violation of this chapter by an immigration consultant may bring a civil action for injunctive relief or damages, or both.

If the court finds that the defendant has violated a provision of this chapter, it shall award actual damages, plus an amount equal to treble the amount of actual damages or one thousand dollars (\$1,000) per violation, whichever is greater. The court shall also grant a prevailing plaintiff reasonable attorneys' fees and costs.” (Bus. & Prof. Code, § 22446.5(a).)

In the Seventh

Cause of Action, Plaintiffs allege that Defendants are immigration consultants,

engaged in business and acted in the capacity of immigration consultants, and provided non-legal assistance in immigration matters by preparing and filing EB-5 visa and DACA applications for compensation. (FAC, ¶73.) Plaintiffs allege Defendants committed numerous violations, including making misrepresentations about their credentials, status of applications, and the nature of interviews (Bus. & Prof. Code, § 22444); failing to provide a written contract compliant with section 22442; demanding and receiving fees before completing services pursuant to section 22443.1; and representing that Defendants could obtain a specific result guaranteeing visas and DACA status (section 22444(b)). (FAC, ¶74.) Plaintiffs seek injunctive relief and damages under section 22446.5. (Id., ¶75.)

Shen demurs to this cause of action, arguing that Plaintiffs' own allegations negate their claim because they allege that Defendants did not prepare or file immigration applications, did not represent them in immigration proceedings, and did not provide immigration-related services.

Based on the facts alleged, Plaintiffs have sufficiently alleged that Shen was an "immigration consultant" as contemplated under the Business & Professions Code because they allegedly engaged in the business to provide the services covered by the law. While it is true that Plaintiffs have not alleged that Shen completed forms provided by a federal or state agency, he translated Plaintiffs' answers in the forms, he secured supporting documents for Plaintiffs, submitted completed forms on Plaintiffs' behalf (on the contrary, Plaintiffs allege no forms were submitted), and/or referred Plaintiffs to an immigration attorney nevertheless Shen it is sufficiently alleged agreed to provide those services. Bus. & Pro. Code 22441(a) does not limit the services to those categories, but simply provides a list which includes but is not limited to those actions. Bus & Prof. Code §22443.3

As Plaintiffs have alleged this foundational requirement, the demurrer to the Seventh Cause of Action is overruled.

H.
Eighth
Cause of Action for Violation of Unfair Competition Law (Bus. & Prof. Code,

§ 17200 et seq.) – Overruled

The purpose of the

Unfair Competition Law (“UCL”) is to protect both consumers and competitors by promoting fair competition in commercial markets for goods and services. (Buller v. Sutter Health (2008) 160 Cal.App.4th 981, 986.) Section 17200 defines unfair competition to mean and include “any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by [the false advertising law (§ 17500 et seq.)].” (Id.) Since section 17200 is written in the disjunctive, a business act or practice need only meet one of the three criteria, i.e., unlawful, unfair, or fraudulent, to be considered unfair competition under the UCL. (Id.)

In order to plead a

claim under Business and Professions Code § 17200, there must be allegations demonstrating that the Defendants engaged in an unlawful, unfair, or fraudulent business act or practice. (Paulus v. Bob Lynch Ford, Inc. (2006) 139 Cal.App.4th 659, 676-77.) Further, to plead this statutory claim, the pleadings must state with reasonable particularity the facts supporting the statutory elements of the violation. (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 619.)

A violation of the

unfair prong of section 17200 involves an examination of the impact of the business practice on its alleged victim balanced against the reasons, justifications and motives of the alleged wrongdoer. (Searle v. Wyndham Int'l (2002) 102 Cal.App.4th 1327, 1334.) An unfair business practice occurs when it offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers. (Id.) In general, the unfairness prong has been used to enjoin deceptive or sharp practices. (Id.) However, the unfairness prong does not give the Courts a general license to review the fairness of contracts. (Id.) Plaintiffs allege Defendants' conduct was unfair, immoral, unethical, and unscrupulous such that Plaintiffs lost \$43,000 and their personal identifying information has been exposed. (FAC, ¶80.) However, the allegations are conclusory.

A review of the pleadings reveals no allegations that identify a particular business practice that offends established public policy or that is immoral, unethical, oppressive, unscrupulous, or substantially injurious to consumers.

A violation of the unlawful prong includes anything that can properly be called a business practice and that at the same time is forbidden by law. (Paulus v. Bob Lynch Ford, Inc. (2006) 139 Cal. App. 4th 659, 676-677.) Plaintiffs allege that Defendants violated Business & Professions Code, § 22440 et seq., Penal Code, § 653.55 (“It is a misdemeanor for any person for compensation to knowingly make a false or misleading material statement or assertion of fact in the preparation of an immigration matter which statement or assertion is detrimentally relied upon by another.”), and Penal Code, § 484 (re theft). (FAC, ¶179.) For the reasons discussed above, Plaintiffs have not established the unlawful prong based on the Business & Professions Code. Furthermore, Plaintiffs have not alleged, with specificity, the basis for their claim under the Penal Code. At this time, a review of the pleadings reveals no allegations that identify a law, regulation, or statute and the particular business practices directed at Plaintiffs that violated the identified law, regulation, or statute.

A violation of the fraudulent prong of section 17200 can be shown with allegations that the fraudulent practice was likely to deceive members of the public. (Schnall v. Hertz Corp. (2000) 78 Cal.App.4th 1144, 1167.) The “fraud” prong “is unlike common law fraud or deception. A violation can be shown even if no one was actually deceived, relied upon the fraudulent practice, or sustained any damage. Instead, it is only necessary to show that members of the public are likely to be deceived.” (Buller v. Sutter Health (2008) 160 Cal.App.4th 981, 986.) Plaintiffs allege Defendants’ conduct was fraudulent in that it was likely to deceive the public, specifically vulnerable immigrants who lack knowledge of the U.S. immigration system, by fabricating credentials, official-looking documents, staged government proceedings, and falsified government receipts. (FAC, ¶181.) The Court finds that this allegation, in conjunction with the allegations above, are sufficient to satisfy the fraudulent prong.

As one prong has been adequately alleged, the demurrer to the Eighth Cause of Action is overruled.

MOTION TO CONTINUE

TRIAL ANALYSIS:

Shen requests that the Court continue the trial date, arguing there is good cause since Shen cannot reasonably prepare for trial while the sufficiency of the pleadings remain unresolved.

There is no trial set in this action, and as such the motion is denied. The only matter set after the July 31, 2026 hearing is a Case Management Conference scheduled for September 30, 2026. As no trial has been set, the request for a trial continuance is denied as moot.

RULING:

In the event a party requests a signed order or the court in its discretion elects to sign a formal order, the following form will be either electronically signed or signed in hard copy and entered into the court's records.

ORDER

Defendant George C.

Shen's Demurrer and Motion to Continue Trial came on regularly for hearing on July 31, 2026, with appearances/submissions as noted in the minute order for said hearing, and the court, being fully advised in the premises, did then and there rule as follows:

THE

DEMURRER TO THE FAC IS OVERRULED AS TO THE FIRST, SECOND, FIFTH, SEVENTH AND EIGHTH CAUSES OF ACTION.

THE

DEMURRER IS SUSTAINED WITH 30 DAYS' LEAVE TO AMEND AS TO THE THIRD, AND SIXTH CAUSES OF ACTION.

THE

DEMURRER IS SUSTAINED WITHOUT LEAVE TO AMEND AS TO THE FOURTH CAUSE OF ACTION.

THE MOTION TO CONTINUE TRIAL IS DENIED AS NO TRIAL DATE HAS
BEEN SET IN THIS ACTION.

DEFENDANT
SHEN TO GIVE NOTICE.

IT IS SO ORDERED.